



Indian Institute of Management, Kashipur

Executive Master of Business Administration

Financial Reporting & Accounting

Term I, 2026-27

Credit: Full

Instructor

Name: Dr. Ashish Kumar

Contact Info: D2/7, First Floor Academic Block, New Campus. ashish.kumar@iimkashipur.ac.in,

Office Hours: During 1 hour period immediately after the class. No appointments required.

Prerequisites: Nil

Course Description

Accounting is the language of business. It attempts to measure and report corporate performance. Managers use accounting in making decisions; while investors use it for valuing stocks. The bankers and lender rely on accounting information to decide to whether to lend money to business. The accounting information is also crucial in evaluating the performance of employees at various levels in an organization. Thus, it is very important for a business executive to have a fair knowledge of accounting.

Course Objectives

This course is designed with the following objectives:

- **PLO1a/b:** To make the participants' comfortable looking through an annual report
- **PLO1a/b:** To make them well equipped to appreciate Accounting statements.
- **PLO1g:** To develop the ability in participants' to use financial statements to assess a company's financial performance, strengths and weakness.

Required Textbook

1. Text Book: Financial Accounting: A Managerial Perspective (TB), R. Narayanaswamy, 7th Edition, PHI.
2. Handouts for Articles, Cases and Optional Readings.

Reference Books

1. Accounting: Text and Case, Robert N. Anthony, David F Hawkins, and Kenneth A Merchant (AHM), 12th Edition, Tata McGraw Hill

Pedagogy and Course Requirements

This course will be comprised of formal lecture sessions, case discussions, and student presentations. All students are expected to read the assigned readings prior to the class. Students are expected to analyse the case following the 'discussion questions'. In addition to the textbook chapters, your readings and assigned case for each session and class schedule will be given in the course hand-out. Several readings, mostly from practitioner perspectives, are there in your hand-out. You are strongly advised to read these readings and this will improve your understanding about the Financial Accounting.

Grading

End-Term Exam	40%
Quiz (N-1)	30%
Project (group)	30%

Project Details:

You have to form a group of 4 depending on your convenience. It would be great if at least every group has one commerce graduate. Now further process is like this:

- Every Group has to choose one industry and then every member of the group will choose one company belonging to the same industry that they choose as a group. Overlapping of the companies is not allowed. Don't choose any finance company i.e. banking company, insurance company, NBFCs. Even ignore pvt ltd companies as their financial statements may not be available in public domain.
- Every member has to download at least three annual reports of the company covering the financial statements of at least the last five years.
- Prepare the data of the last five years financial statements in excel format.
- Don't download the financial statements from financial websites, use only the company annual report for the same.
- Try to understand the dynamics of the company as well as industry.
- Do all ratio calculations which we will cover in coming classes.
- Try to compare the ratios of the same company over the years using graphs and tables and draw conclusions about the performance of the company over the years.
- Then you have to make the group work where you have to compare the performance of the company vis-a-vis to its peer group.
- Try to rank the companies on the basis of various performance parameters to be discussed in coming classes.

- Within the one industry we may have multiple segments i.e. in the auto industry we have passenger vehicles, commercial vehicles, heavy commercial vehicles or light commercial vehicles. thus try to compare the performance of the companies within the specific segments because all the companies within the same industry may not be comparable.
- The basic objective of the project is to make students familiar with accounting practices, industry as well as company dynamics and performance appraisal parameters.
- You are advised to read the "Management Discussion and Analysis" segment of the annual report that will help you to understand some of the reasons why a specific ratio is in specific shape and which course of action the company is taking to correct its shape.
- Every student is expected to critically evaluate the company's performance and based on the understanding of the business make suggestions for the companies to improve their performance.
- The project report will be submitted on google classroom before the commencement of the end term exam. Exact date will be communicated later on.
- Every Pdf must be named in group no.

Tentative Class Schedule

(Additional readings, cases, and articles may be assigned as they become available)

Session	Topics	Readings & Cases
Module I: Understanding of Financial Statements		
Session 1 – 2	Introduction to Financial Accounting	Chapter 1,2 & 3 Readings: HBSM A conceptual framework for financial reporting (9-101-118) Teaching Notes: Will be provided after the class.
Session 3	Mechanics of Financial Accounting	Chapter – 2 & 3 HBSM The mechanics of financial accounting (9-101-119)
Session 4 - 5	Understanding Balance sheet	Chapter 5 to12 Readings: HBSM The balance sheet (9-101-108) Case: HBSM Maria Hernandez & Associates (9-902-401)
Session 6 - 7	Understanding Income statement	Chapter 4 &12 Readings: HBSM The income statement (9-101-109) Case: HBSM Chemalite, Inc. (9-177-078)
Session 8 - 10	Cash flow Statement	Chapter 13 Case: HBSM Chemalite Inc. (B) (9-195-

		130)
Session 11 -12	Financial Statements- integrated exercise and understanding of annual reports	Going through the annual report of a real life Co.
Module II: Financial Statement Analysis		
Session 13-14	Financial Statement Analysis: DuPont Framework	Chapter 12 Analyzing Financial Statement of companies from various sector – in class discussion i.e. Tata Steels
Session 15-16	Understanding of Profit, Profitability and Profit Margins	Chapter 12 Live calculation on the financial data of Tata Steels
Session 17-18	Turnover and Efficiency Analysis	Chapter 12 Live calculation on the financial data of Tata Steels
Session 19-20	Role of Leverage	Chapter 12 Live calculation on the financial data of Tata Steels

Course Policies

1. **Responsibility for Course Materials:** You are responsible for all material covered in class. If you are absent, you are responsible for obtaining the information you missed.
2. **Classroom Behavior:** We expect you to participate in class activities in a mature and appropriate manner. Disruptive or otherwise unacceptable behavior will not be tolerated.
3. **Use of Mobile and Laptop:** Mobiles are not permitted in the classroom. In the class, you must carry your laptop and keep it down unless asked by the instructor.
4. **Academic Conduct:** All members of the academic community at IIM Kashipur are expected to practice and uphold standards of academic integrity and honesty. Academic integrity means representing oneself and one's work honestly. Misrepresentation is cheating since it means students are claiming credit for ideas or work not actually theirs and are thereby seeking a grade that is not actually earned. Following are some examples of academic dishonesty:
 - i. **Cheating on quizzes and examinations.** This includes using materials such as books and/or notes when not authorized by the instructor, copying from someone else's paper, helping someone else copy work, substituting another's work as one's own, theft of exam copies, or other forms of misconduct on exams.
 - ii. **Plagiarizing the work of others.** Plagiarism is using someone else's work or ideas without giving that person credit; by doing this students are, in effect, claiming credit for someone else's thinking. Whether students have read or heard the information used, they must document the source of information. When dealing with written sources, a

clear distinction should be made between quotations (which reproduce information from the source word-for-word within quotation marks) and paraphrases (which digest the source of information and produce it in the student's own words). Both direct quotations and paraphrases must be documented. Even if students rephrase, condense or select from another person's work, the ideas are still the other person's, and failure to give credit constitutes misrepresentation of the student's actual work and plagiarism of another's ideas. Buying a paper or using information from the World Wide Web or Internet without attribution and handing it in as one's own work is plagiarism.

- iii. **Falsifying records or providing misinformation regarding one's credentials.**
- iv. **Unauthorized collaboration on computer assignments and unauthorized access to and use of computer programs**, including modifying computer files created by others and representing that work as one's own.
- v. Unless they specifically indicate otherwise, instructors expect individual, unaided work on homework assignments, exams, lab reports and computer exercises, and documentation of sources when used. If instructors assign a special project other than or in addition to exams, such as a research paper, or original essay or a book review, they intend that work to be completed for that course only. Students must not submit work completed for a course taken in the past or for a concurrent course unless they have explicit permission to do so from both faculty members.

Any academic misconduct will automatically result in a failing grade for the class and the student will be reported to the committee on academic misconduct for further disciplinary action.

- 4. **Attendance:** As far as I am concerned, you are an adult and it is your decision whether or not you attend class. However, your decision not to attend a class may have negative consequences for your class grade. (Please consult PGP Participants' Handbook for this purpose).
If you decide to attend a class, you must come to the class and take your seat sufficiently before the beginning of the class time. Under no circumstances you would be allowed in once the class has started. You are expected to sit through the class unless you have a prior permission from the instructor to leave the classroom before the end of the class.
- 5. **Late submission: Any late submission beyond the deadline (even by few seconds) will result in 0 point. Except in case of emergencies, with a doctor's note, any questions about late submission will not be entertained.**
- 6. **Missed exam: There is no make-up for the missed exams** unless the student has discussed and made an arrangement with the instructor for a valid reason beforehand. In all other instances, the student must produce a valid doctor's note for the day the student missed the exam. Such doctor's note must be produced in the same week the student missed the exam.
- 7. **Grade Discussion:** It is the student's responsibility to monitor his or her own grades and raise any questions s/he may have **within one week** of the grades assigned.
- 8. **Extra Credit:** No Extra credit shall be given to make-up for missed quizzes, assignments, exams, project, or poor performance in the course.

Learning Accommodations

To provide equal access to the educational programs and opportunities, IIM Kashipur is dedicated to providing appropriate accommodations to students with documented disabilities such as attention deficit-hyperactivity disorders, physical disabilities, sensory impairments, and psychiatric disorders in order to help them achieve their academic and personal potential. These academic accommodations are provided to students at no cost.

Inclusivity Statement

IIM Kashipur believes that diversity and inclusiveness are essential to excellence in education and innovation. Our community represents a rich variety of backgrounds, experiences, demographics, and perspectives. IIM Kashipur is committed to fostering a learning environment where every individual is respected and engaged. To facilitate a dynamic and inclusive educational experience, we ask all members of our community to:

- be open to the perspectives of others
- appreciate the uniqueness of their colleagues
- take advantage of the opportunities to learn from each other
- exchange experiences, values, and beliefs
- communicate in a respectful manner
- be aware of the individuals who are marginalized and involve them
- keep confidential discussions private